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CONCEPT AND PURPOSE

Legislature authorises
-> executive
collects/spends/records
-> CAG tests authority,
evidence and results ->
President/Governor lays
-> legislature
scrutinises.

LIMIT: evidence, not
executive command.

Evidence, boundary and answer-use remain inseparable.

2

ORIGIN AND AMENDMENTS

01 Constitution 1950 constitutional office.

02 DPC Act 56/1971 duties and service.

03 Act 45/1976 amended ss10,11,22 for
departmentalisation.

04 Acts 2/1984, 50/1987 and 51/1994 revised
pension/service provisions, not general audit
jurisdiction.

Evidence, boundary and answer-use remain inseparable.

3

ARTICLES 148-151 AND 279

148 office, warrant,
oath, SC-judge removal,
service protection, post-
office bar, IAAD, charged
expenses.

149 law gateway.

150 President on CAG
advice: 42nd Amendment
1976 changed formulation.

151 report routes.

279 final net-proceeds
certificate.

Evidence, boundary and answer-use remain inseparable.

4

APPOINTMENT AND INDEPENDENCE

President appoints; Third Schedule
oath.

DPC s4: six years or age 65.

Removal: proved
misbehaviour/incapacity and Art124(4)
address.

Strength after appointment; selection
transparency, access and follow-up
remain issues.

ACCOUNTS VERSUS AUDIT

Accounts record/compile;
audit independently
tests.

1976 Union
departmentalisation
moved much compilation
to ministries/CGA.

DPC ss10-12 retain
residual roles.

India is predominantly
ex-post auditor, not
routine pre-withdrawal
comptroller.

Evidence, boundary and answer-use remain inseparable.

6

DPC ACT MAP

01 s13 expenditure/funds; s14 financed bodies; s15
grants; s16 receipts; s17 stores; s18 access;
s19/19A companies/corporations; s20
entrustment: s23 scope; s24 limited checks.

02 Jurisdiction first, access second.

Evidence, boundary and answer-use remain inseparable.

7

ENTITY BOUNDARIES

Department ->
ss13/16/17/18.

Government company -> s19
+ Companies Act
2(45),139,143.

Corporation -> own law.

Grantee -> s14/15.

Other body -> s20.

Local/private/PPP audit
needs a bounded legal
nexus.

Evidence, boundary and answer-use remain inseparable.

8

AUDIT TYPES

Financial = fair presentation.

Compliance = authority.

Propriety = prudence/economy.

Performance =
economy/efficiency/effectiveness.

Finding is not guilt, recovery order,
invalid policy or final adjudication.

Evidence, boundary and answer-use remain inseparable.

9

REPORT TO ACCOUNTABILITY

CAG report ->
President/Governor ->
legislature.

PAC examines
Appropriation/Finance
Accounts and selected
reports.

CoPU examines
undertakings.

CAG assists but is not a
member.

Evidence, boundary and answer-use remain inseparable.

10

CASES AND EXAMPLES

01 Arvind Gupta 2012 performance audit valid.

02 CPIL 2012 arbitrary 2G FCFS, 122 licences
quashed, not adoption of audit estimate.

03 Arun Kumar Agrawal 2013 parliamentary scrutiny.

04 Balaji 2013 ex-post propriety.

05 Telecom 2014 bounded revenue access.

Evidence, boundary and answer-use remain inseparable.

11

COMPARISON, LIMITS, REFORM

CGA accounts: FC
recommendations; EC runs
elections; UPSC advises;
PAC/CoPU scrutinise.

Limits: ex post, data
delay, bounded reach.

Reform: transparent
selection, auditability,
digital access, timely
laying/replies, committee
capacity.

Evidence, boundary and answer-use remain inseparable.

12

TRAPS AND ANSWER SPINE

TRAPS: tenure source; no pleasure
removal; Art150 advice; Art151 route;
s18 ancillary; local/private audit not
automatic; report != verdict.

ANSWER: define -> 148 -> 149/DPC ->
type/entity -> 151 -> case -> limit ->
reform -> verdict.

Evidence, boundary and answer-use remain inseparable.